IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY PETITION NO. (CAA) - 52(ND)/2022

CONNECTED WITH

COMPANY APPLICATION NO. (CAA) - 51(ND)/2022

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

OF

M/s. ZENITH TELECOMMUNICATIONS PVT LTD

..... Petitioner Company No. 1/ Transferor Company No. 1

AND

M/s. VICTRONICS COMMUNICATIONS PVT LTD

..... Petitioner Company No. 2/ Transferor Company No. 2

WITH

M/s. LEMON ELECTRONICS LTD

..... Petitioner Company No. 3/ Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Delivered on 05.02.2024

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Petitioners	:	Mr. Rajeev K Goel, Adv.
For the OL	:	Ms. Tanuja Rawat Adv.
For the RD	:	Ms. Shankari Mishra, Ms. Niharika Tanwar, Advs.

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. The present Second Motion Petition has been filed jointly by the M/s. Zenith Telecommunications Pvt. Ltd., (Petitioner Company No. 1/ Transferor Company No. 1), M/s. Victronics Communications Pvt. Ltd., (Petitioner Company No. 2/ Transferor Company No. 2 and M/s. Lemon Electronics Ltd (Petitioner Company No. 3/ Transferee Company) under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation between the Transferor Company and Transferee Company and their respective shareholders and creditors (Scheme).

The Registered Office of the Transferor Company No. 1 to 2 and Transferee Company is presently situated at B-4, Ground Floor, Shanker Garden, Vikas Puri, New Delhi - 110018 and therefore, it is under the jurisdiction of the Hon'ble National Company Law Tribunal, New Delhi.

2. The Transferor Company No. 1 namely M/s. Zenith Telecommunications Pvt. Ltd., bearing CIN: U32100DL2017 PTC313854 was incorporated on 03.03.2007 under the provisions of the Companies Act, 2013 as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Transferor Company No. 1 is situated at B-4, Ground Floor, Shanker Garden, Vikas Puri, New Delhi - 110018. The Authorized Share Capital of the Company is Rs. 1,00,00,000/- divided into 10,00,000 Equity Shares of Rs. 10 each and Issued, Subscribed and Paid-up Share Capital of the Transferor Company No. 1 Company is Rs. 97,30,000/- divided into 9,73,000 Equity Shares of Rs. 10 each.

3. The Transferor Company No. 2 namely M/s. Victronics Communications Pvt. Ltd, bearing CIN: U74110DL2015PTC282392 was incorporated on 03.07.2015 under the provisions of the Companies

Act, 2013 as a Private Company Limited by Shares (Non- govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Transferor Company No. 2 is situated at B-4, Ground Floor, Shanker Garden, Vikas Puri, New Delhi - 110018. The Authorized Share Capital of the Company is Rs. 2,00,00,000/- divided into 20,00,000 Equity Shares of Rs. 10 each and Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 1,55,47,770/- divided into 15,54,777 Equity Shares of Rs. 10 each.

4. The Transferee Company namely M/s. Lemon Electronics Ltd., bearing CIN: U64200DL2008PLC179213 was incorporated on 09.06.2008 under the provisions of the Companies Act, 1956 as a Private Company Limited by Shares (Non- govt. Company) with the name and style as 'Fastrack Communications Pvt. Ltd.' with the Registrar of Companies, NCT of Delhi. The Name of the Company was changed to "Lemon Electronics Pvt. Ltd." vide fresh Certificate of Incorporation dated 28.11.2017. The Company was converted into a Public Company Limited by Shares (Non-govt. Company) and name of the company was changed to "Lemon Electronics Ltd." vide Fresh Certificate of Incorporation dated 23.02.2018 issued by the Registrar of Companies, New Delhi. The registered office address is situated at B-4, Ground Floor, Shanker Garden, Vikas Puri, New Delhi - 110018. The Authorized Share Capital of the Transferee Company is Rs. 20,00,00,000/- divided into 2,00,00,000 Equity Shares of Rs. 10 each and Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 7,05,00,000/- divided into 70,50,000 Equity Shares of Rs. 10 each.

5. It is stated that the Transferee Company viz., M/s. Lemon Electronics Ltd. has moved the necessary second motion Petition being **CP(CAA)-52(ND)/2023** on 07.05.2022, connected with the first motion Application being **CA(CAA)-51(ND)/2022**, before the National Company Law Tribunal, New Delhi.

6. The Board of Directors of the Transferor Companies and of the Transferee Company in their respective Board Meetings dated

09.03.2022 considered and unanimously approved the proposed Scheme of Amalgamation.

7. The amalgamation of the Transferor Companies with the Transferee Company would inter alia have the following benefits:

a) *"Both the Transferor Companies No. 1 & 2 are wholly owned subsidiaries of the Transferee Company. The proposed Scheme of Amalgamation would result in consolidation of the Wholly Owned Subsidiaries with their Parent/Holding Company.*

b) *The Transferor Company No. 1 has been engaged in purchase, sale and trading in electronics items, mobile phones and accessories and other related activities. The Transferor Company No. 2 has been engaged in manufacturing of mobile phone accessories; purchase, sale and trading in electronic items, accessories and other related activities. Whereas the Transferee Company has been engaged in manufacturing of mobile phones; purchase, sale and trading of electronic items, accessories and other related activities. Due to entry of large and multiple players, the mobile phones and accessories industry has undergone a major change. The Transferor and Transferee Companies have suffered major setbacks and incurred financial losses. In order to provide much needed stability and long- term survival of these Companies, it proposed to merge all the Companies together.*

c) *The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and more productive utilization of financial, human and other resource and enhancement of overall business efficiency. The proposed Scheme will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.*

d) *The amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present is required to be made separately by the Transferor Companies and the Transferee Company.*

e) The proposed amalgamation will provide greater efficiency in fund management and unfettered access to fund flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities. The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

f) The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned."

8. This Adjudicating Authority by its order dated 28.04.2022 dispensed with the requirement of holding the meeting of equity shareholders and unsecured creditors meeting of all the Companies involved in the present scheme of amalgamation.

9. The Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices. This Tribunal vide order dated 17.05.2022 directed to issue notice to all the Statutory Authorities, i.e., Central Government, the Regional Director (Northern Region), - Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana - Ministry of Corporate Affairs, Official Liquidator attached to the High Court Of Delhi and the concerned jurisdictional Income Tax Commissioner and such other Sectoral Regulatory Authorities who shall be affected by the proposed Scheme and to such other Objector(s), if any, and also directed that the notice be published in two newspapers i.e., Business Standard (English Edition) and Business Standard (Hindi Edition) Delhi edition.

10. It is submitted by the Petitioners that in compliance of the above-stated directions, the Petitioners duly filed an Affidavit of Service dated 16.06.2022 by confirming that the aforesaid Notices of the present Company Petition were published on 10.06.2022 in Business Standard (English Edition) and Business Standard (Hindi Edition) Delhi edition. It is further submitted that the Petitioner Companies also served the

Notices of the present Company Petition to all the statutory authorities as per the directions given by this Tribunal dated 17.05.2022.

11. The Income Tax Department vide its Separate Reports for the Petitioner Companies filed on 19.10.2022 has not objected to the proposed scheme of the amalgamation but has made certain observations. The Petitioner Companies filed a reply in response to the observations made by the Income Tax Department, in where the Petitioner Companies submitted that an appeal is pending before Ld. CIT (Appeals) against the outstanding demand of Rs. 29,23,15,480 for AY 2018-19 against the Transferor Company No.2. A Writ is also pending before the Hon'ble Delhi High Court against the demand of Rs. 9,19,42,130 for AY 2018-19 against the Transferee Company. The Petitioner Companies have undertaken and confirmed that the Petitioner Companies will make the payment of the outstanding Income Tax dues/demands as per the final outcome of the on-going appeal/writ. The Petitioner Companies have clarified and confirmed that the proposed Scheme of Amalgamation will not adversely affect the on-going appeal/writ petition.

12. The Regional Director along with the Registrar of Companies vide it's report dated 27.04.2023 has made certain observations and has not filed MGT-6. The petitioner companies have filed reply on 27.04.2023 in response to the observations made by the Regional Director, wherein the petitioner companies have given an undertaking to appropriately comply with the observations made by the Regional Director and has already filed MGT-6 along with the reply.

13. The Official Liquidator, Mr. A.K. Mahapatra vide it's report dated 21.12.2022 submitted to this tribunal stating therein that they have no objection with respect to the present scheme of amalgamation.

14. The Petitioners Companies have submitted that the provisions relating to the accounting treatment for the proposed arrangement, as contained in the Scheme of Amalgamation, are in conformity with the applicable provisions of the Companies Act, 2013 under Section 133 of the Companies Act, 2013), and Generally Accepted Accounting

Principles in India. The Statutory Auditors of the Transferor Companies and the Transferee Company have confirmed the same vide Certificate dated 05.04.2022 filed by M/s. Manoj Sangeeta & Associates, Chartered Accountants.

15. No investigation proceedings have been instituted and are pending in relation to either of the Petitioner Companies under Sections 235 to 251 of the Act or under Sections 206 to 229 (Chapter XIV) of the Act. To the knowledge of each of the Petitioner Companies, no winding-up petition (including under Section 433 read with Section 434 of the Companies Act, 1956) and/or insolvency proceedings have been filed/instituted and are pending against either of the Petitioner Companies. None of the directors of the Petitioner Companies have any material interest in the Scheme except to the extent of their directorships and shareholding in the Petitioner Companies.

16. It is submitted by the Petitioner Companies that this Joint Second Motion Petition is made bona fide and in the interest of justice and no one will be prejudiced if orders are made/or directions are given as prayed for.

17. Analysis and Finding

i. After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Transferor Companies and the Transferee Company and the Scheme will be beneficial to the Transferor Companies, Transferee Company and their respective shareholders and creditors.

ii. The shareholders of the petitioner company are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is

sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

iii. It has also been affirmed in the petition that the Scheme is in the interest of both the Transferor Companies, Transferee Company, their respective shareholders, creditors, employees and all concerned.

Upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

18. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

i. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 230 (1) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation filed stated in Form CAA 8 along with the required fee as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The appointment date as proposed in the Scheme of Amalgamation i.e., 01.04.2022 by the Petitioner Companies is confirmed by this Tribunal.

19. This Tribunal does further order: -

i. That the Transferor Companies shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor Companies subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company; and

iv. That all proceedings now pending by or against the Transferor Company shall be continued by or against the Transferee Company; and

v. That all the employees of the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date; and

vi. That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such

certified copy being so delivered, the Transferor Companies shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

20. Accordingly, the Scheme stands **sanctioned** and **CP(CAA)/52 (ND)/2023** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

-Sd-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

-Sd-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)